SENATE BILL 1419
By Akbari

HOUSE BILL 1386

By Harris

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 29; Title 49, Chapter 7; Title 49, Chapter 8 and Title 49, Chapter 9, relative to student athletes.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 7, is amended by deleting part 28 and substituting:

49-7-2801.

As used in this part:

(1) "Athletic program" means an intercollegiate athletic program at an institution;

(2) "Institution" means a four-year public or private institution of higher education located in this state;

(3) "Intercollegiate athlete" means a student enrolled in an institution who participates in an athletic program;

(4) "Media network" refers to a platform created and operated by certified NIL representatives, collectives, or institutions to distribute content directly to consumers, including, but not limited to, social media, podcasts, and video channels;

(5) "Name, Image, and Likeness (NIL)" means the legal right of an intercollegiate athlete to earn compensation from the authorized use of the intercollegiate athlete's name, image, or likeness; and

(6) "Talent fee" means a supplemental fee applied to revenue-generating activities by an institution, including, but not limited to, ticket sales, merchandise, sponsorship deals, broadcast rights, and event concessions, to support NIL opportunities.

49-7-2802.

(a) An intercollegiate athlete may earn compensation for the use of the intercollegiate athlete's name, image, and likeness. The compensation earned pursuant to this subsection (a) must reflect fair market value and not be contingent upon athletic performance or enrollment.

(b) Institutions, certified NIL collectives, and representatives may:

(1) Establish NIL funds to attract and manage revenue from NIL activities, including corporate sponsorships, alumni contributions, and third-party collaborations;

(2) Operate media networks to distribute exclusive content featuring intercollegiate athletes; provided, that the network:

(A) Ensures free access to consumers to maximize audience reach;

(B) Allocates a percentage of media network-generated revenues to intercollegiate athletes featured in the content and their certified NIL representatives; and

(C) Collaborates with professional content creators to ensure high-quality production and strategic distribution; and

(3) Implement a talent fee on revenue streams, including, but not limited to, ticket sales, merchandise, sponsorship deals, and event concessions, to support NIL activities and compensate intercollegiate athletes fairly.

49-7-2803.

(a) A certified NIL representative who represents an intercollegiate athlete under this part for purposes of securing compensation for the use of the athlete's name, image, or likeness must be licensed under § 49-7-2104, and must satisfy the requirements of chapter 7, part 21 of this title.

(b) Certified NIL representatives must adhere to a fiduciary duty, acting in the best interests of the intercollegiate athlete at all times.

(c) The secretary of state shall maintain a publicly accessible registry of certified NIL representatives.

49-7-2804.

(a) Institutions shall:

(1) Conduct mandatory workshops for intercollegiate athletes covering NIL contract negotiation, tax responsibilities, wealth management, and personal branding;

(2) Provide mentorship programs connecting intercollegiate athletes with alumni and industry leaders to support NIL success; and

(3) Document and report on NIL activities and revenues annually to the general assembly.

(b)

(1) There is established the statewide NIL oversight committee. The Tennessee higher education commission shall appoint five (5) members who have experience with NIL for intercollegiate athletes in this state to the statewide NIL oversight committee. The statewide NIL oversight committee shall:

(A) Monitor the implementation and impact of NIL activities;

(B) Publish annual reports on NIL revenues, expenditures, and best practices; and

(C) Resolve disputes related to NIL agreements.

(2) In order to stagger the terms of the committee members, two (2) initial appointees serve two-year terms, two (2) initial appointees serve three-year terms, and one (1) initial appointee serves a four-year term. All subsequent appointments are for four-year terms. A member's term of office begins on July 1 and expires on June 30. Committee members may continue to serve on the committee after their term expires, but only until a new member is appointed to replace the committee member. Committee members may be reappointed to multiple terms.

49-7-2805.

(a) Institutions may create incentive-based revenue-sharing models that allocate:

(1) A minimum of fifty percent (50%) of NIL-generated funds directly to intercollegiate athletes and the intercollegiate athletes' certified NIL representatives;

(2) Additional funds to enhance scholarships, athletic facilities, and academic resources without reducing intercollegiate athlete compensation; and

(3) Reserved revenues for community outreach programs and institutional growth.

(b) Media networks operated by an institution or NIL collective must:

(1) Showcase exclusive content to increase intercollegiate athlete exposure and fan engagement;

(2) Provide opportunities for intercollegiate athletes to co-create content and share revenues; and

(3) Include revenue-sharing agreements to ensure equitable benefits for intercollegiate athletes, certified NIL representatives, and institutions.

(c) An institution may establish an NIL program at the high school level to educate prospective intercollegiate athletes on NIL opportunities that comply with state and federal laws.

49-7-2806.

(a) Institutions are encouraged to secure broadcast rights and partnerships with streaming services or local networks to increase NIL visibility and revenue opportunities.

(b) Institutions may create branded merchandise collaborations featuring intercollegiate athletes, with a portion of proceeds directly benefiting intercollegiate athletes.

(c) Institutions may host NIL-centric events such as athlete showcases, branded tournaments, or fan experience days, with revenues shared among intercollegiate athletes and programs.

(d) State regulatory bodies shall not pursue NIL investigations.

(e) NIL programs shall prioritize equality and access and opportunity for all institutions, ensuring smaller institutions receive the same access to NIL opportunities as larger institutions.

(f) The state shall encourage high school athletes to explore NIL opportunities.

(g) Institutions may develop methods for NIL compensation, such as tournaments that guarantee payments to participating teams and partnerships with an intercollegiate athletic association as a licensor.

(h) An institution may reinvest a portion of NIL revenues into marketing and digital strategies to attract additional sponsorships and enhance NIL visibility for intercollegiate athletes.

49-7-2807.

(a) An institution may implement a talent fee. If an institution authorizes a talent fee, then:

(1) The talent fee of a ticket sale may be no more than ten percent (10%) of the ticket price;

(2) Revenues generated must be allocated directly toward NIL activities, including athlete compensation, NIL program development, and fan engagement platforms;

(3) The institution must ensure transparency by reporting the use of talent fee revenues annually to the general assembly and the institution's governing board;

(4) Talent fee revenue allocation must prioritize equitable compensation opportunities for all intercollegiate athletes, ensuring access for institutions with limited financial resources; and

(5) The revenue benefits intercollegiate athletes equitably across institutions.

(b) Talent fee revenues must not disproportionately benefit intercollegiate athletes from a single sport, but instead reflect balanced contributions to all athletic programs at an institution.

(c) Institutions may utilize talent fee revenue to subsidize athletic scholarships, facility upgrades, and athlete development programs; provided, these initiatives equally benefit intercollegiate athletes across all sports.

49-7-2808.

(a) Institutions are encouraged to develop direct-to-consumer NIL platforms to amplify athlete exposure, enhance fan engagement, and increase NIL revenue streams.

(1) These platforms may include:

(A) Social media channels dedicated to exclusive intercollegiate athlete content;

(B) Podcasts and video series featuring intercollegiate athlete interviews, game highlights, and personal stories; and

(C) Merchandise collaborations directly tied to NIL activities, where intercollegiate athletes share in the revenue.

(2) Institutions must offer free access to such platforms to maximize audience reach while providing premium sponsorship opportunities to generate revenue.

(b) Institutions may leverage such platforms to attract local and national sponsorships, ensuring the institution's athletes are positioned for NIL success on par with athletes from larger institutions worldwide.

49-7-2809.

(a) To address disparities in institutional resources, the state shall prioritize support for NIL initiatives that benefit historically underserved institutions.

(b) Institutions may request matching funds from the state for investments in NIL infrastructure, including media network development, marketing campaigns, and educational programs.

(c) NIL partnerships that foster community involvement and local business collaborations must receive priority for state support.

SECTION 2. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.